both with the BRICS and in the former Soviet space. Thus, with the exception of Belarus, the European Union and China, not Russia, are now the dominant trading partners with the post-Soviet states.[168] Currency diversification in this context is more likely to enable China's further expansion into the region that Russia seeks to dominate rather than constrain it.

Many Russian specialists recognized this trend after the 2008 global financial crisis. In an important and widely read report, *Strategy 2020* (published in March 2012), Russian experts laid out the principal external risks as the ruble and RMB become competitors. If China's RMB becomes a regional and then a global reserve currency, the authors warned, this could limit Russia's ability to use the ruble in international settlements and lead to "currency wars." Equally worrisome, China's strengthening position in Central Asia "could undermine the prospects for . . . Russia's integration projects." The report went on to cast the relationship in close to zero-sum terms: "The new and more active negotiating and interventionist conduct of China as a 'wealthy newcomer' in the 'club of world leaders,' the strengthening of the G2 (the United States and China) in managing global economic processes, and the growing influence of China in the IMF and WTO are to the detriment of third countries, including Russia."[169]

The Kremlin perhaps could afford to be more bullish about cooperation with China when Russia's economy was still growing and trade was rising. In 2011, when China became Russia's leading trade partner, many Russian officials and tycoons convinced themselves that Moscow would become an international financial center and that the ruble and RMB were both advancing. The ruble even had the edge, in Putin's view, as "a stable, reliable, and freely convertible currency, unlike the Chinese yuan."[170]

Since then, the asymmetries in power have widened and Russia experienced the economic shocks of 2014–2015, raising questions about its international position and heightening its fears of becoming a resource appendage of China. Close positive relations between Putin and Xi have kept the bilateral and BRICS relationships on track thanks to a host of deals, including some personally approved by Xi as goodwill gestures to the Kremlin.[171] The 2014 contract to build the "Power of Siberia" gas pipeline from eastern Siberia to China showed hard bargaining over price. Then China National Petroleum Corporation (CNPC) helped bail out Rosneft in